



COLLEGE OF BUSINESS
COLORADO STATE UNIVERSITY

Course Introduction & Foundational Marketing Topics

BUS 655: Marketing Management
Professional and Online MBA Programs
Dr. Kelly Martin



BUSINESS

FOR A

BETTER

WORLD

Agenda

1. Introductions & Course Expectations
2. What is Marketing? (and Why Should I Care?)
3. Creating Customer Value
4. Marketing Strategy Framework
5. Marketing's Role in the Firm



Introductions & Course Expectations



Introductions

- Name (full and preferred)
- Personal background
- Professional role and experience
- Why you decided to get an MBA
- Fun fact!

Hello! My Name is

Introductions

- Check the Class Discussion Board
 - Hear from fellow students
 - Learn about your AMAZING ICs!
- Go to the MBA Canvas Resource Course
- Take the time to network
- Ask Questions!

Hello! My Name is

BUS 655: Course Learning Objectives

By the completion of this course participants should be able to:

- Demonstrate mastery of marketing terminology and concepts.
- Understand the perspectives and influences that shape marketing decision making.
- Connect marketing functions to organizational goals of customer value creation.

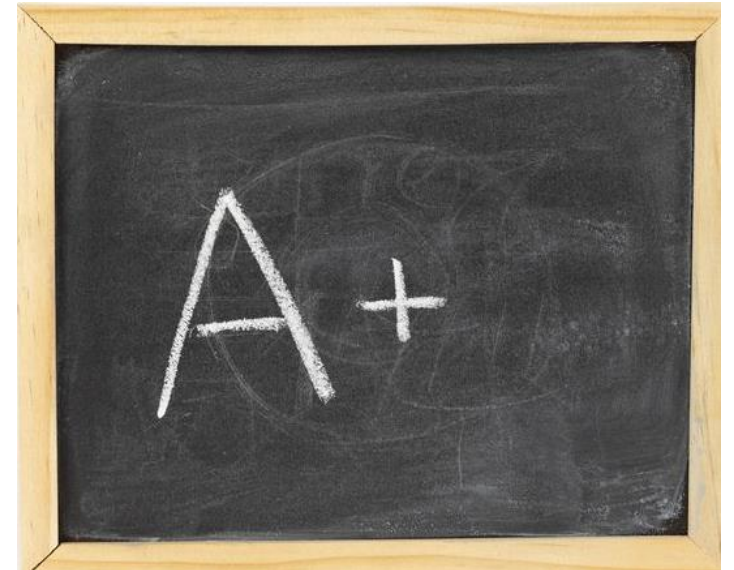
BUS 655: Administrative Details

- Readings
- Simulation
- Canvas
- IC Structure
- Instructor information
 - Office hours: by appointment
 - Kelly.martin@colostate.edu (preferred)
 - (970) 491-7269, Rockwell 010



BUS 655: What to Expect

- Course Organization
 - Readings, Lecture, and Quizzes: Concepts
 - In-Class and Online Discussion: Application
 - Guest Experts: Application
- Course Structure
 - Weekly Discussion (8 Required)
 - Weekly Quizzes (8 Required)
 - Simulation Reflection (6 are Required)
 - Final Exam



BUS 655: What to Expect

1. Readings are meant to be completed prior to class; time to completion for 2-credit course
2. In-class sessions are dynamic; we cannot always cover topics evenly depending on where the discussion goes
3. Quizzes, discussions, and simulation assignments are meant to reinforce what you read; class discussion is a supplement
4. Final exam will take a wholistic view of the topics; typically short answer/essay format (more information to follow)

BUS 655: My Expectations



MBA Program Learning Objectives



What Is Marketing?

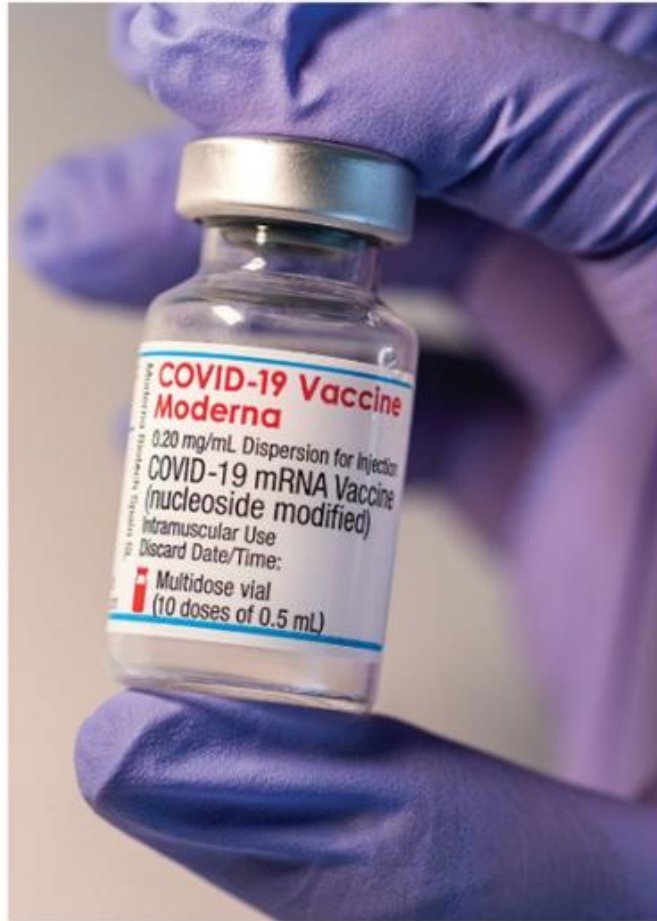
What is Marketing?

- Marketing is the activity, set of institutions, and processes...
- for creating, communicating, delivering, and exchanging offerings...
- that have value for customers, clients, partners, and society at large.”



Can Marketing Help Contribute to a Better World?

Marketing for a Better World



Marketing for a Better World

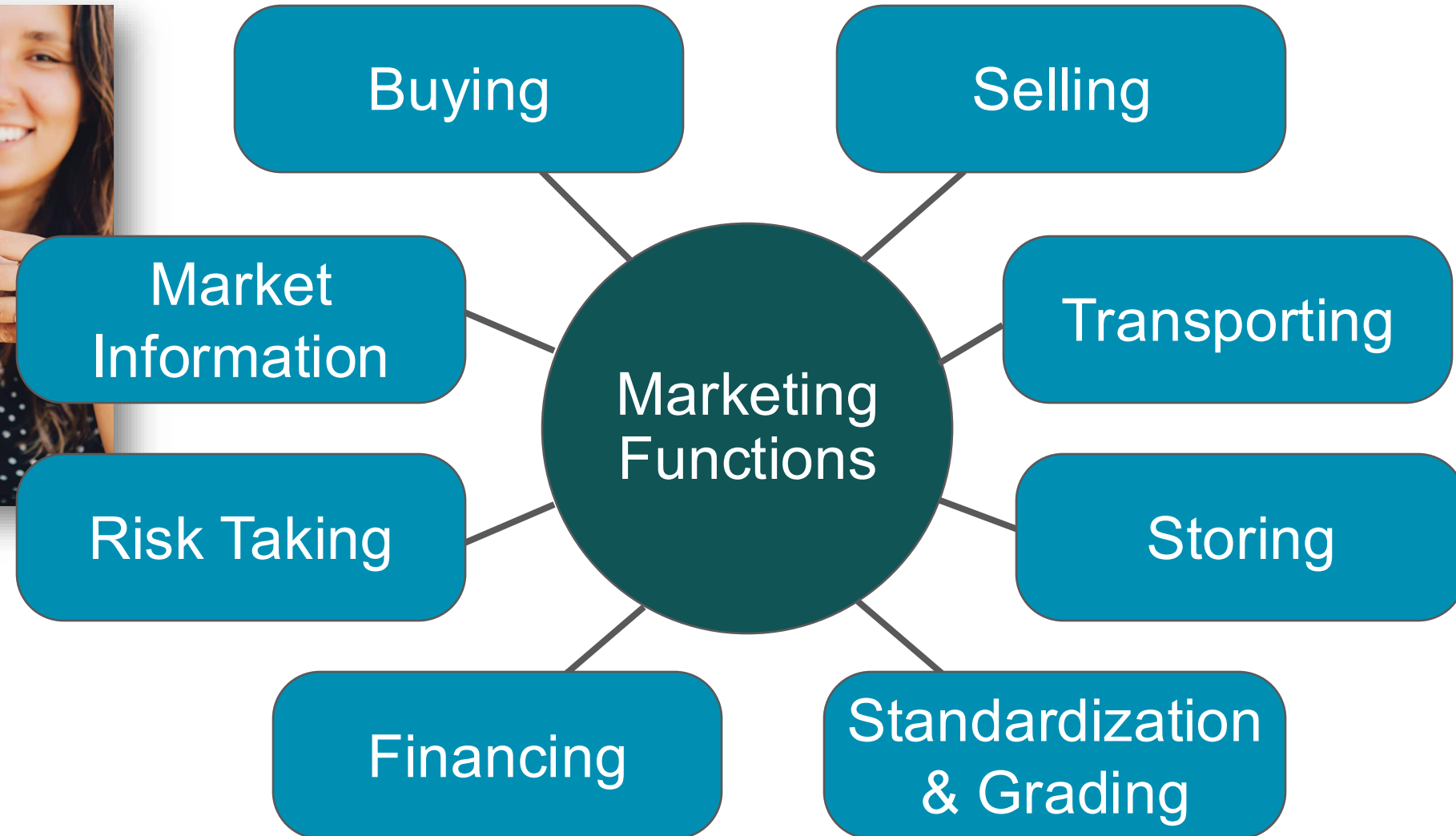


What is Marketing?

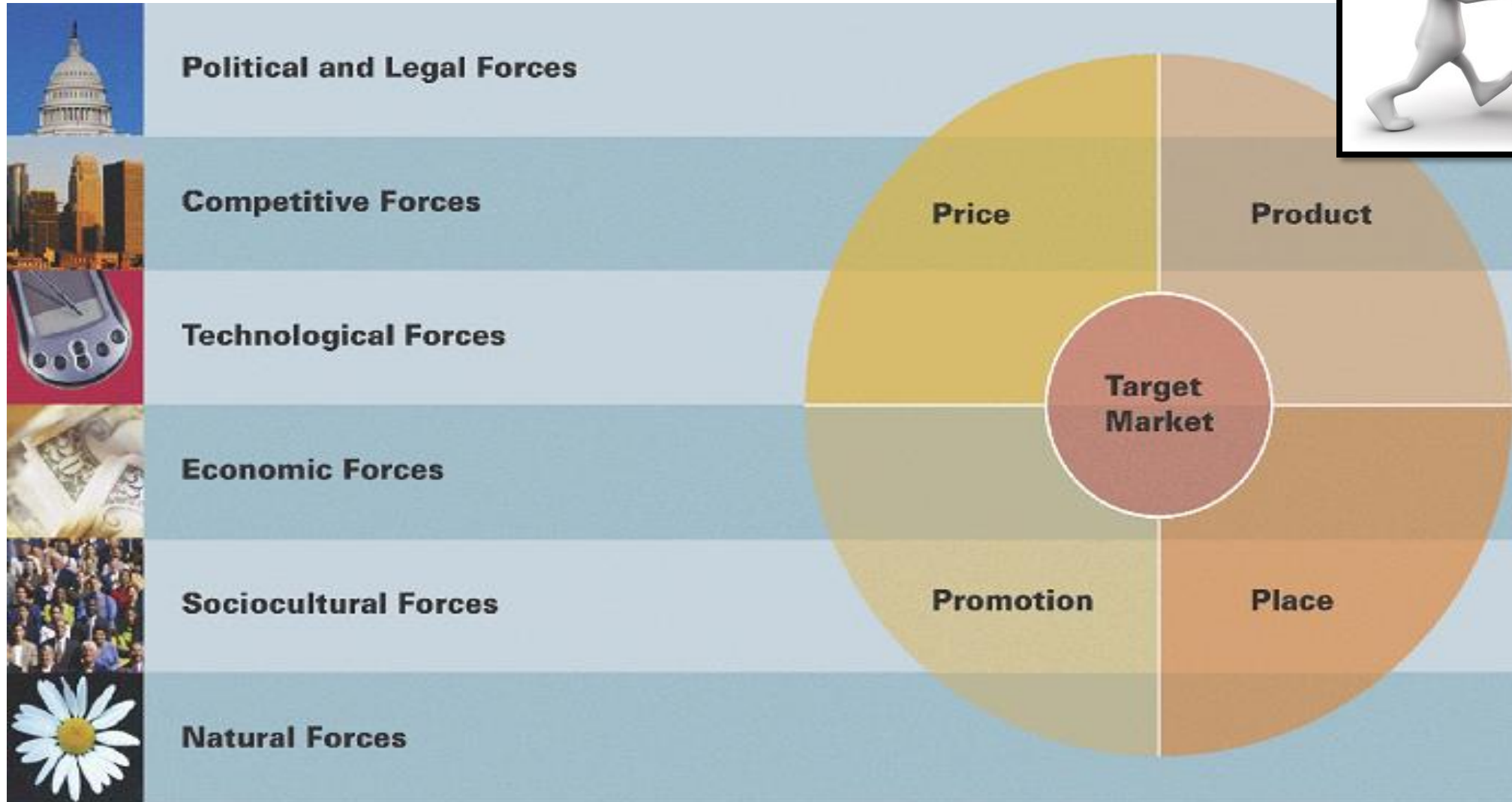


- Analyze needs
- Determine wants
- Identify competition
- Predict designs
- Determine where
- Decide promotion
- Estimate price
- Provide service

Functions of Marketing



What is Marketing? The External Environment



Marketing: Why Does it Matter?



SOUTHWEST AIRLINES

Corporate Situation Analysis
Corporate Mission, Goals, and Objectives

Business-Unit Situation Analysis
Business-Unit Mission, Goals, and Objectives

Business-Unit Strategy

Marketing Goals and Objectives
↓
Marketing Strategy
↓
Implementation
↓
Evaluation and Control

Marketing Plans

Production Goals and Objectives
↓
Production Strategy
↓
Implementation
↓
Evaluation and Control

Production Plans

Financial Goals and Objectives
↓
Financial Strategy
↓
Implementation
↓
Evaluation and Control

Financial Plans

Human Resource Goals and Objectives
↓
Human Resource Strategy
↓
Implementation
↓
Evaluation and Control

Human Resource Plans

Other Functional Goals and Objectives
↓
Other Functional Strategies
↓
Implementation
↓
Evaluation and Control

Other Functional Plans

"The Purpose of Business is to Create (and Keep) a Customer." Peter Drucker, Theodore Levitt

Fortune 100 Mission Statements:
Key Stakeholders (2001)



Fortune 100 Mission Statements:
Key Stakeholders (2016)



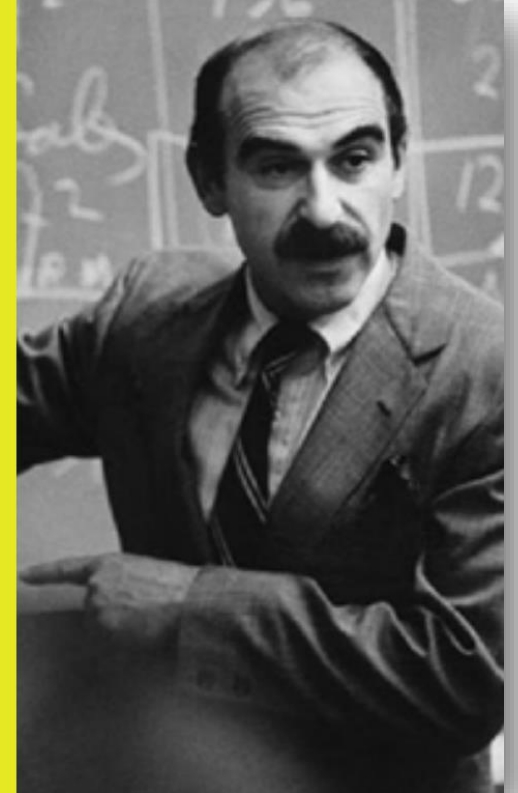
Source: King, Case, and Carney (2018)

Customers Seek Solutions

- Previous business mindset was to make products and “push” them to customers.
- Replaced by a selling orientation...
- ...which was replaced by studying what customers actually **value**.
- “Customers are not looking for a product, they are looking for a solution.”

“People don't want to buy a quarter-inch drill, they want a quarter-inch hole.”

Theodore Levitt

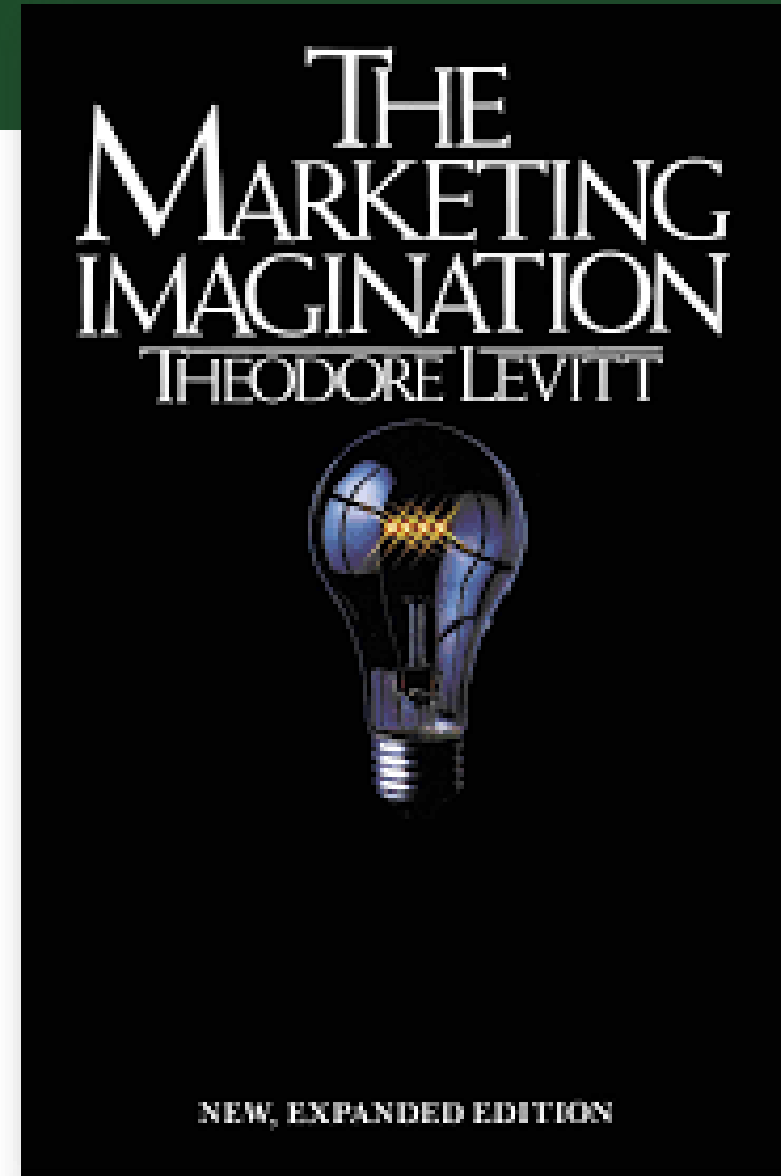


Marketing's problem-solving orientation can create a better world!

Marketing as Problem Solver

- “...to say that profit is a purpose of business is, simply, morally shallow. Who with a palpable heartbeat and minimal sensibilities will go to the mat for the right of somebody to earn a profit for its own sake? If no greater purpose can be discerned or justified, business cannot morally justify its existence. It’s a repugnant idea, an idea who’s time has gone.”

Levitt, *The Marketing Imagination*, pages 6-7



Marketing as Problem Solver

- Market demand for socially responsible marketing
 - Consumers “vote” with their wallets
 - Expectations for sustainable products and services
- Socially responsible marketing makes good business sense
 - Efficiency, productivity benefits
 - Firm’s main revenue driver
- It’s up to us! Similar to Porter...business must be the answer

AMS Review
<https://doi.org/10.1007/s13162-022-00225-3>

COMMENTARY



Marketing as problem solver: in defense of social responsibility

Kelly D. Martin¹ · Stasha Burpee²

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Abstract

The marketing function has long been recognized for its problem-solving abilities. In this commentary, we draw from marketing’s problem-solving foundations to argue that it is well-poised to solve some of society’s vexing issues—from climate change, to hunger and nutrition, to poverty and human flourishing. We identify and explain three critical forces that make socially responsible marketing more necessary than ever. First, the market, comprised of consumers and investors, increasingly demands socially responsible marketing through responses that include purchase behavior, stated preferences, relationship formation and loyalty, and valuation of socially responsible investment products. Second, business practice increasingly embraces social responsibility and has garnered tangible customer and performance benefits from those practices. Third, political and regulatory systems that might otherwise support human and environmental well-being suffer from increasing dysfunction and inaction. Taken together, we see a necessary and productive role for socially responsible marketing and its proven problem-solving capabilities.

Keywords Social responsibility · Socially responsible marketing · ESGs · Multi-stakeholder perspective · Brand activism

Socially Responsible Marketing

- Marketing Ethics: Internal firm processes and risks
- Socially Responsible Marketing: External firm behaviors and stakeholder interactions
- Formal Definition: “Socially Responsible Marketing (SRM) consists of practices and perspectives mandated by an implicit social contract (SC), which requires marketing policies, actions and outcomes to adhere to a corporate [“good”] citizenship (CC) that is proactive and non- discretionary. It is informed by a stakeholder orientation (SO) that recognizes an authentic consideration of stakeholder claims, especially those of the customer/consumer and vulnerable stakeholders. Further, SRM seeks social and environmental sustainability (SES) in all its actions.”

Creating Customer Value

Understanding and Serving Customers

Market Driven

- Organization conducts market research to understand customer needs, wants, and preferences.
- These are explicitly queried, tested, and trialed.
- Relies on customers knowing what they want and need.

Market Driving

- Organization creates products and services based on its own vision of the future.
- Understand what customers value generally, then create products services to meet unmet needs.
- Can shape competition and become first-mover.
- Can be co-created.

What is Customer Value?

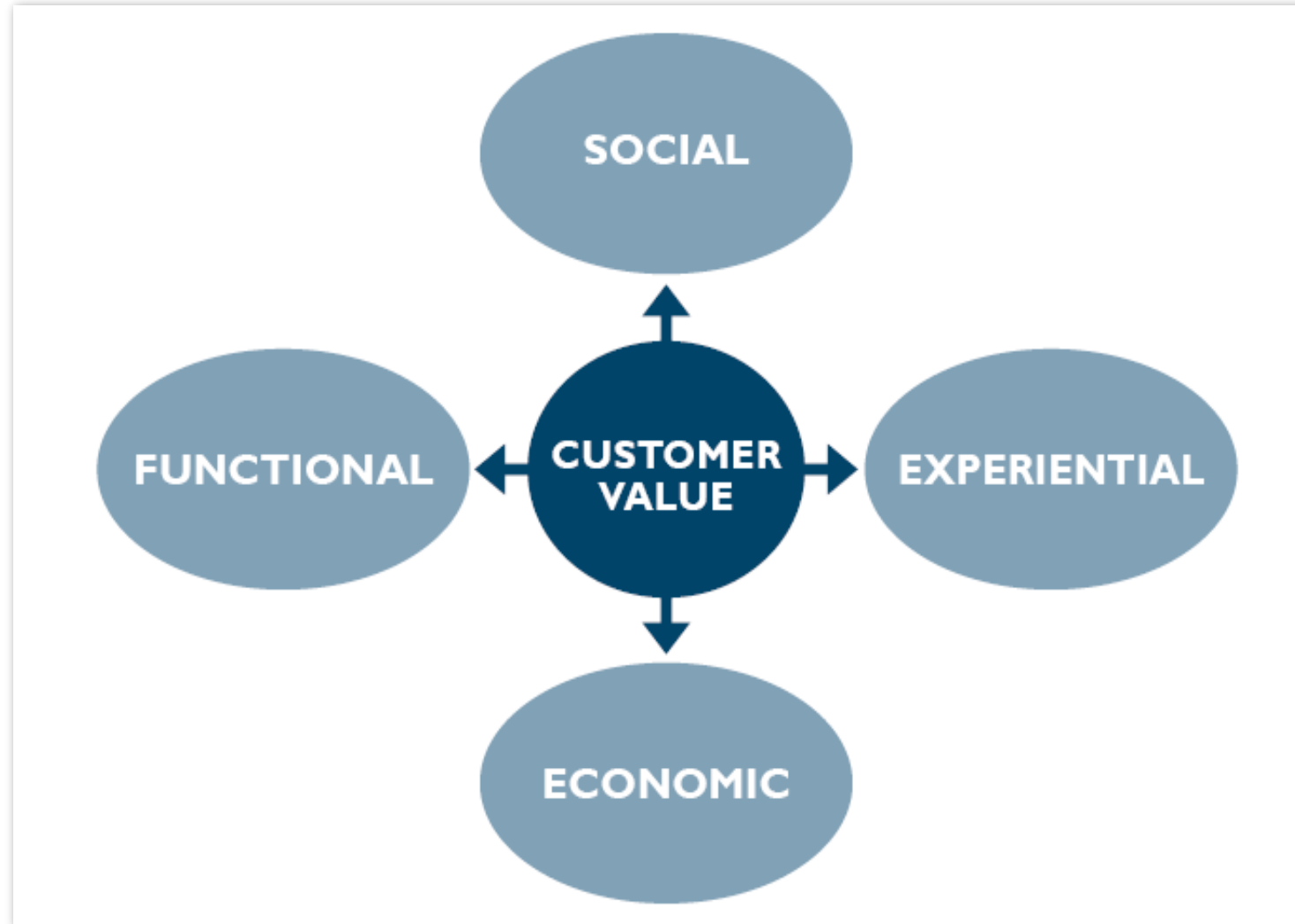
Customer benefits

- Customer costs

Value realized

- Value is defined as the difference between a customer's cost to acquire the product and the bundle of benefits s/he receives.
- Costs include more than the price paid, but also time, energy, and effort.
- Relevant for B2B and B2C
- Value can take many forms...

Forms of Customer Value



Economic Value

Customer gains economic value when a product provides tangible monetary savings either at the time of purchase or its long-term use.

- Often a valuable comparison variable between competing alternatives.
- A function of ownership costs and life cycle of the product/service.
- Often complex for consumers to calculate; marketers can help make the case that lowest price does not always equal lowest cost.



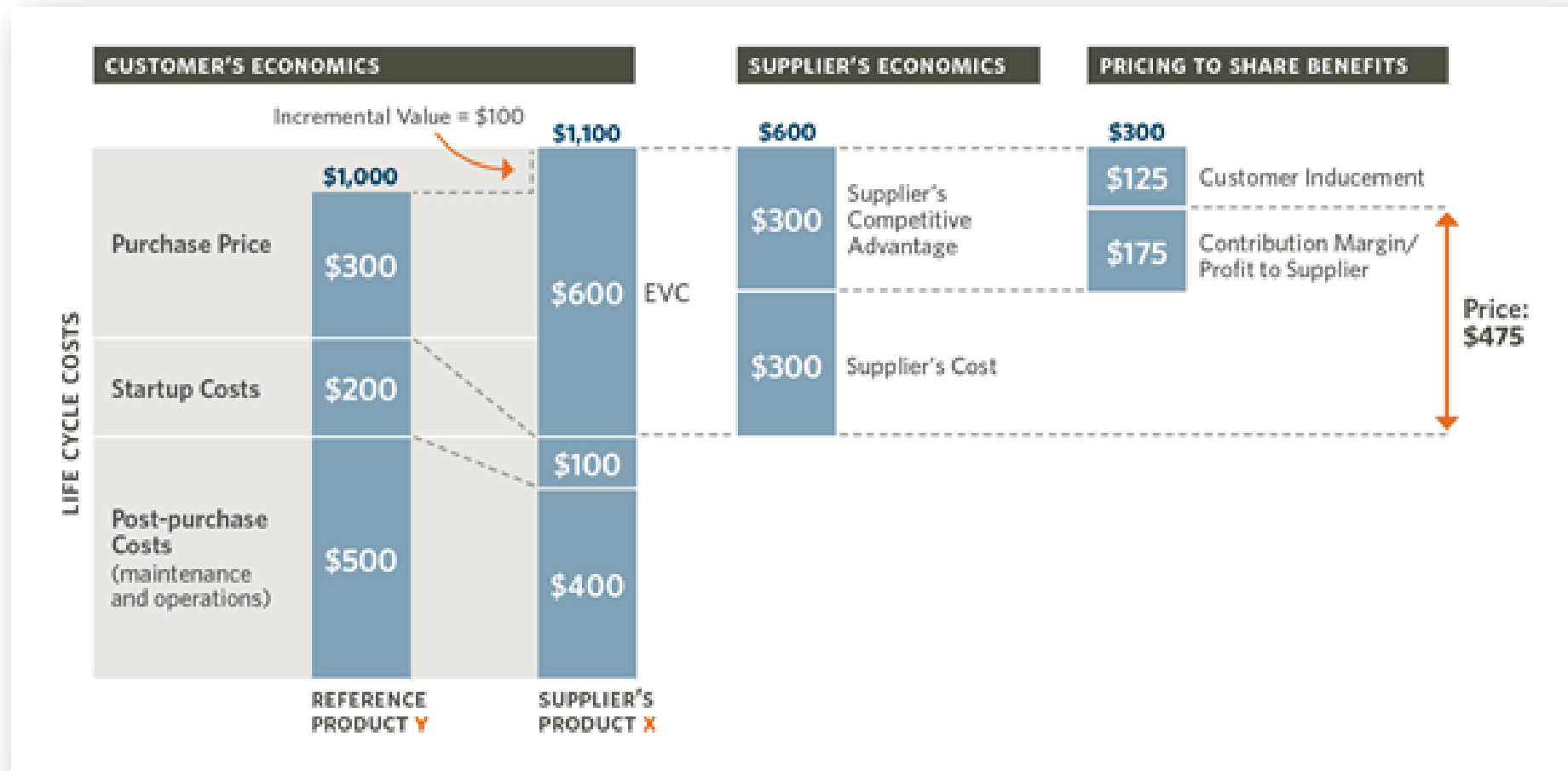
Economic Value

Economic value comparisons for a lightbulb purchase

	LED	CFL	Incandescent
Lightbulb projected life span	50,000 hours	10,000 hours	1,200 hours
Watts per lightbulb (equiv. 60 watts)	10	14	60
Cost per lightbulb	\$35.95	\$3.95	\$1.25
kWh of electricity used over 50,000 hours	500	700	3,000
Cost of electricity (@ \$0.10 per kWh)	\$50.00	\$70.00	\$300.00
Bulbs needed for 50,000 hours of use	1	5	42
Cost of bulbs for 50,000 hours of use	\$35.95	\$19.75	\$52.50
Total cost for 50,000 hours	\$85.75	\$89.75	\$352.50

Economic Value

Economic value comparisons for a B2B equipment purchase



Functional Value

- Beyond price, different features, and/or actions a product or service will perform (features vs. benefits).
- Customers evaluate product/service functions relative to goals they need to accomplish.
- Optimal balance of product and service features and functions (avoid feature fatigue).
- Sometimes trial, demonstration, or comparison is needed to make functional value salient (e.g., novel technologies; food and beverage)
- In B2B, key form of value with Economic.

Functional Value

Brand	HP	Lenovo	Dell	Microsoft
Model Name	Envy 13	ThinkPad X1 Carbon Gen 7	Precision 7730	Surface Book 2
Retail Price	\$1,199	\$1,504	\$1,659	\$2,499
Processor Name	Intel Core i7-8565U	Intel Core i5-8265U	Intel Core i7-8850H	Intel Core i7-8650U
Processor Speed	1.8 GHz	1.6 GHz	2.9GHz	1.9 GHz
RAM	16 GB	8 GB	16 GB	16 GB
Weight	2.82 lbs	2.49 lbs	7.49 lbs	4.2 lbs
Display and Resolution	13.3" (3840 x 2160)	14" (1920 × 1080)	17.3" (3840x2160)	13.5" (3240x2160)
Graphics Card	Nvidia GeForce MX250	Intel UHD Graphics 620	Intel HD GFX	Intel HD Graphics 4400
Storage Capacity	512 GB	256 GB	500 GB	1 TB
Reported Battery Life	11:34	14:29	3:50	16:28

Functional Value

		IMPORTANCE OF ATTRIBUTE				
		40%	30%	10%	20%	
BRAND		Hard Disk	RAM	Weight	Price	Preference
	HP	7	7	7	9	7.4
	Lenovo	4	4	9	7	5.1
	Dell	7	7	2	6	6.3
	Microsoft	10	7	5	2	7.0

Experiential Value

Intangible psychological and emotional value...



Branding



Design



Customer Experience;
Customer Service



Intangible
Emotional Value

Customer Experience & Customer Service

- Critical to positive customer behaviors, customer performance outcomes.
- Yet often lowest paid, greatest on-the-job risk, lower levels of training, skill provision.
- Front-line employees especially likely to have high burnout, turnover, dissatisfaction



Customer Management

- Includes customer logistics within the physical location or online system.
- Can also include how customer moves with the firm's product/service offerings.
- Firms help customers identify right fit regarding products/brands and services (rather than pushing products/brands and services on the customer).
- Ideal for companies with portfolio of offerings. Customers should be able to migrate throughout the firm as managed by different strategic business units (SBUs).



Social Value



Network Effects



Preference Formation



Social Capital



Social Relationships

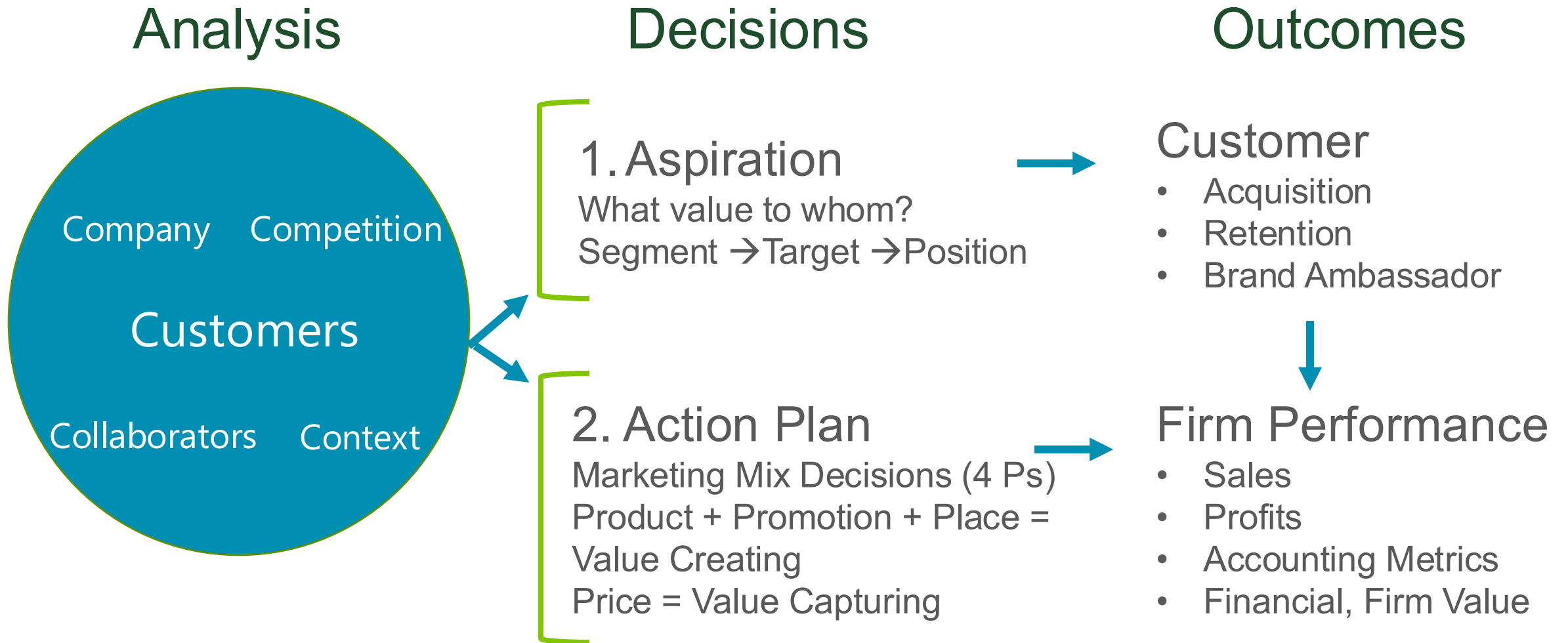
Key Takeaways: Customer Value

- Value is the reason customers purchase a product or service; it is also the reason they will stay loyal to a company.
- Value takes different forms, some overlapping or reinforcing.
- It is the marketer's job to maximize salient forms of value in their product/service offerings.
- Providing value is a whole-company effort.

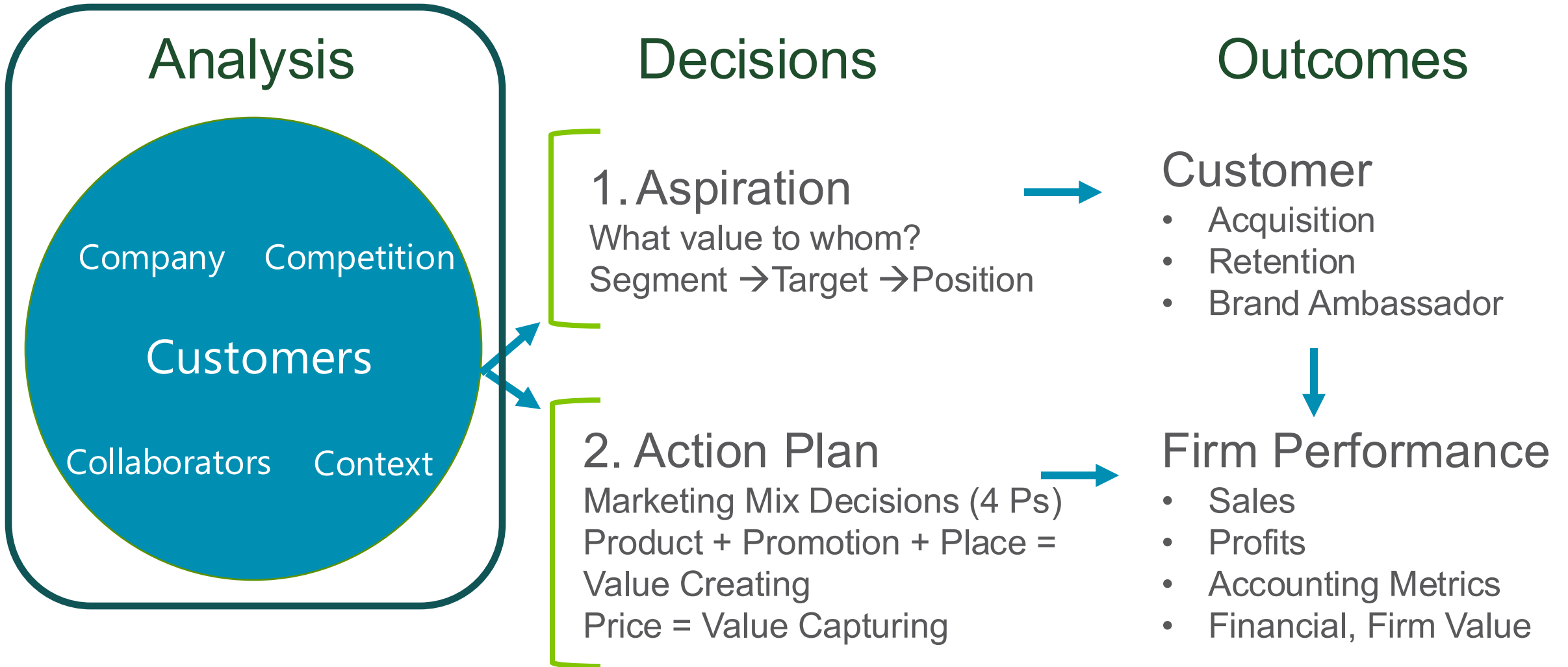


Marketing Strategy Framework

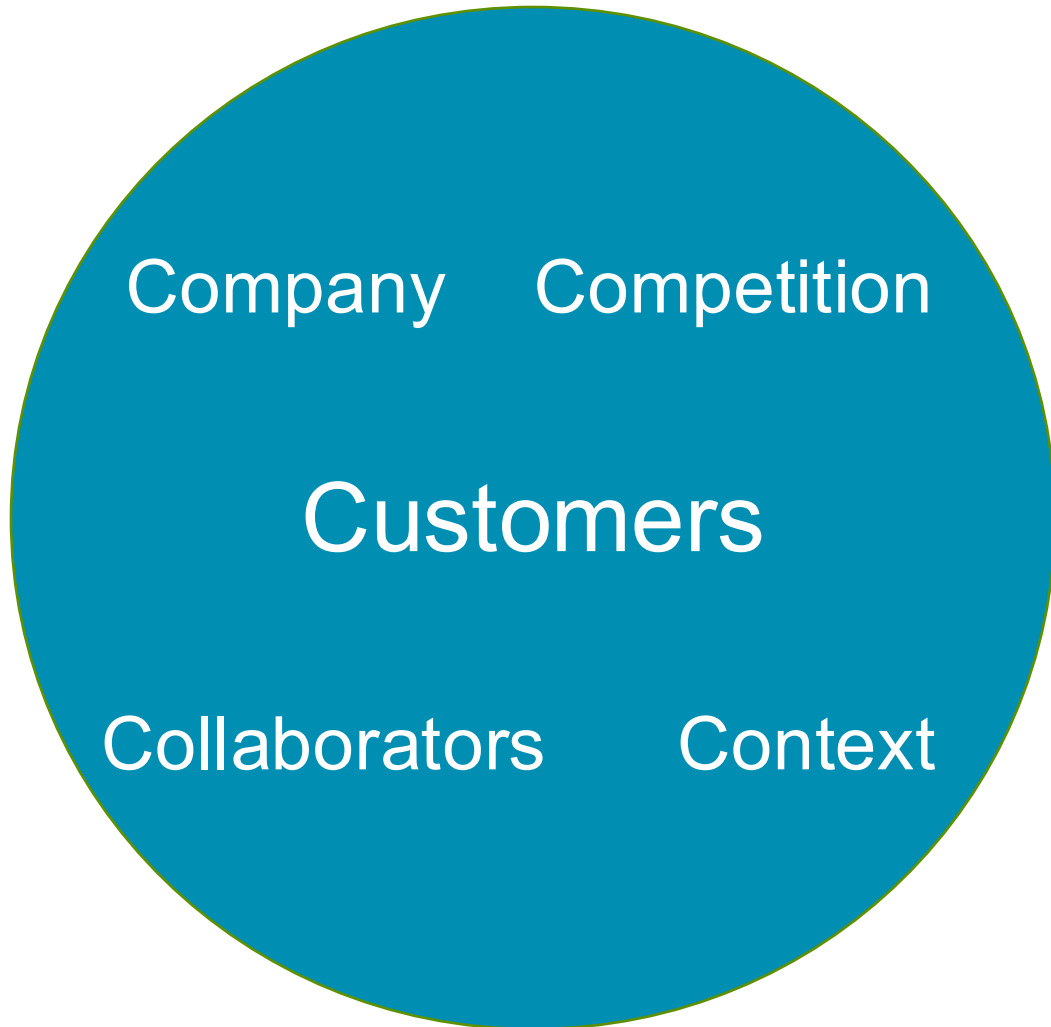
Marketing Strategy Framework



Marketing Strategy Framework



Strategic Marketing Analysis



- Provides a foundation for all other marketing decisions.
- Requires research, analysis, and ongoing monitoring, as each area of focus can change rapidly.
- Usually where data and insights can help with better decision making.

Strategic Marketing Analysis



Company

Competition

Customers

Collaborators

Context

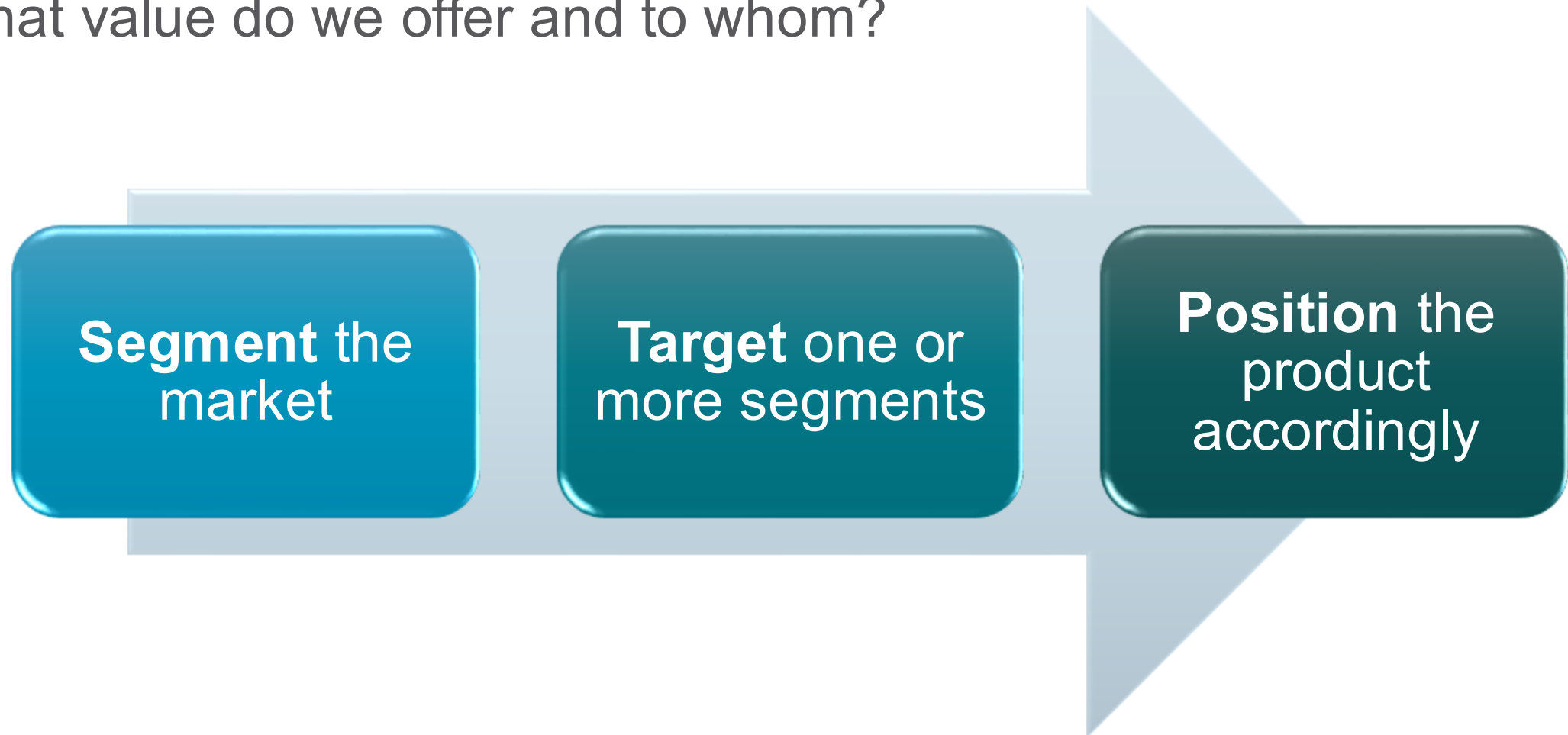


Marketing Strategy Framework



Fundamental Marketing Decisions: Aspiration

What value do we offer and to whom?



Segmentation, Targeting, Positioning (STP)

- Unless an organization chooses to be a mass marketer, it makes sense to segment the market.
- **Segmentation** involves breaking up the market into meaningful* subgroups on various dimensions.
- Among viable segments, organization selects one or more to **target** their offerings toward. Decision depends on organization's strengths, weaknesses and the competition.
- **Positioning strategy** is devised to appeal to customers in a way that is meaningfully different from the competition.

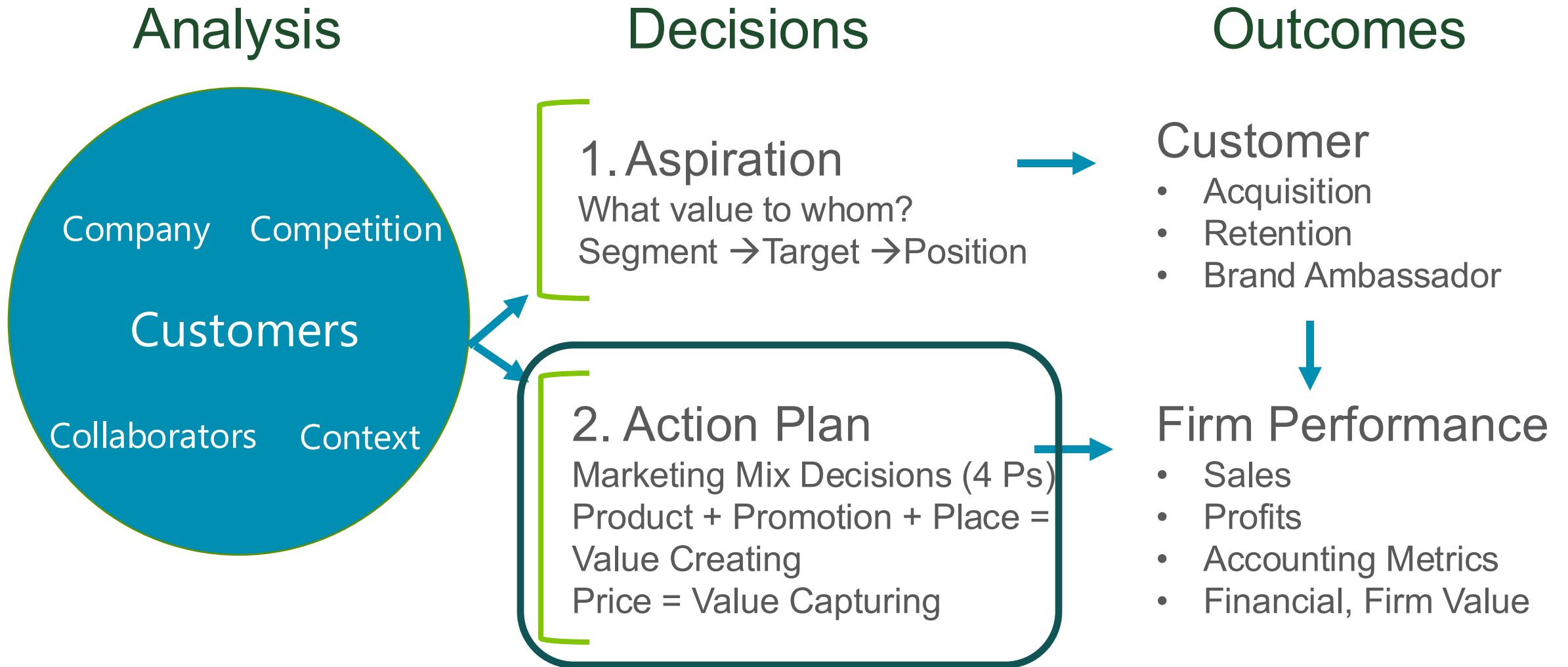
Common Segmentation Variables

Variable Type	Example	Segment Defined
Demographic	Coke Zero	Age (young)
	Chase Sapphire	Age (Millennial)
	Zipcar	Age (under 25)
	Marriott Courtyard	Business traveler
Geographic	Zipcar	City dwellers and college students
Psychographic/lifestyle	Zipcar	Environmentally concerned
	IKEA	Value-oriented
Benefit sought	"Bugs" Burger Bug Killers	Pest elimination (not control)
	Spirit Airlines	Low price
	Outotec	High performance
Usage	Marriott Residence	Long stay



What value do we offer and to whom?

Marketing Strategy Framework



Fundamental Marketing Decisions: Actions



Product

(Customer Solution)



Place

(Customer Convenience)



Promotion

(Customer Communication)



Price

(Customer Cost)

The Marketing Mix

The Marketing Mix

- Elements of the marketing mix should work together to put the organization's positioning strategy into action.
- At a minimum, the elements of the marketing mix should be consistent with each other, and not lack fit.
- The more integrated they are with each other, the more harmonious the interaction.
- Ideal situation allows the organization to leverage each element to its advantage for optimal value creation and capture.
- We will discuss each element in detail this semester!

Developing a Marketing Mix



To smuggle durable, custom-fitted shoes into a kid's wardrobe, disguise them as sneakers.

Toddler University® presents a great leap forward for children's feet.

It's called the Higher Education™

Sneaker. And while its playful exterior may look like other

sneakers, there the resemblance ends.

Because what you see here is footwear that gives kids who live in sneakers a significantly higher standard of living.

For instance, most companies that make lightweight shoes take the issue of fit all too lightly. Toddler U's come with custom-fitted footbeds that mold shoes to every contour of your child's feet. An exclusive process we call Tri-Dimensional Fit.™

Other sneaker soles are surprisingly inflexible when it comes to bending. But

© 1990 Toddler U Inc.

our Higher Education soles allow a child's feet to bend almost as easily as if they were barefoot, thanks to their pliant Flex Zones®

And since destroying sneakers is among every kid's favorite sports, ours come with thicker leathers, molded rubber toe guards, and sturdy T.U. Custom Canvas™

Making them the first sneakers specifically designed to finish last.

In other words, Higher Education is anything but a sneaker of the old school.

To see the complete line in a brilliant array of styles and colors, phone 1-800-237-6751 for the Toddler U dealer near you.

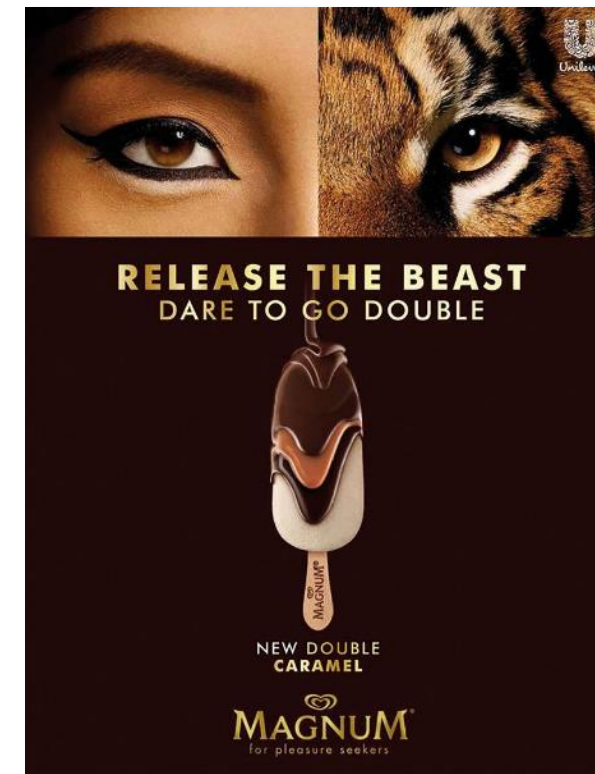
**TODDLER
UNIVERSITY®**

Higher education for younger feet®

Toddler University's marketing strategy was successful because it developed a distinctive marketing mix that was precisely relevant to the needs of its target market.

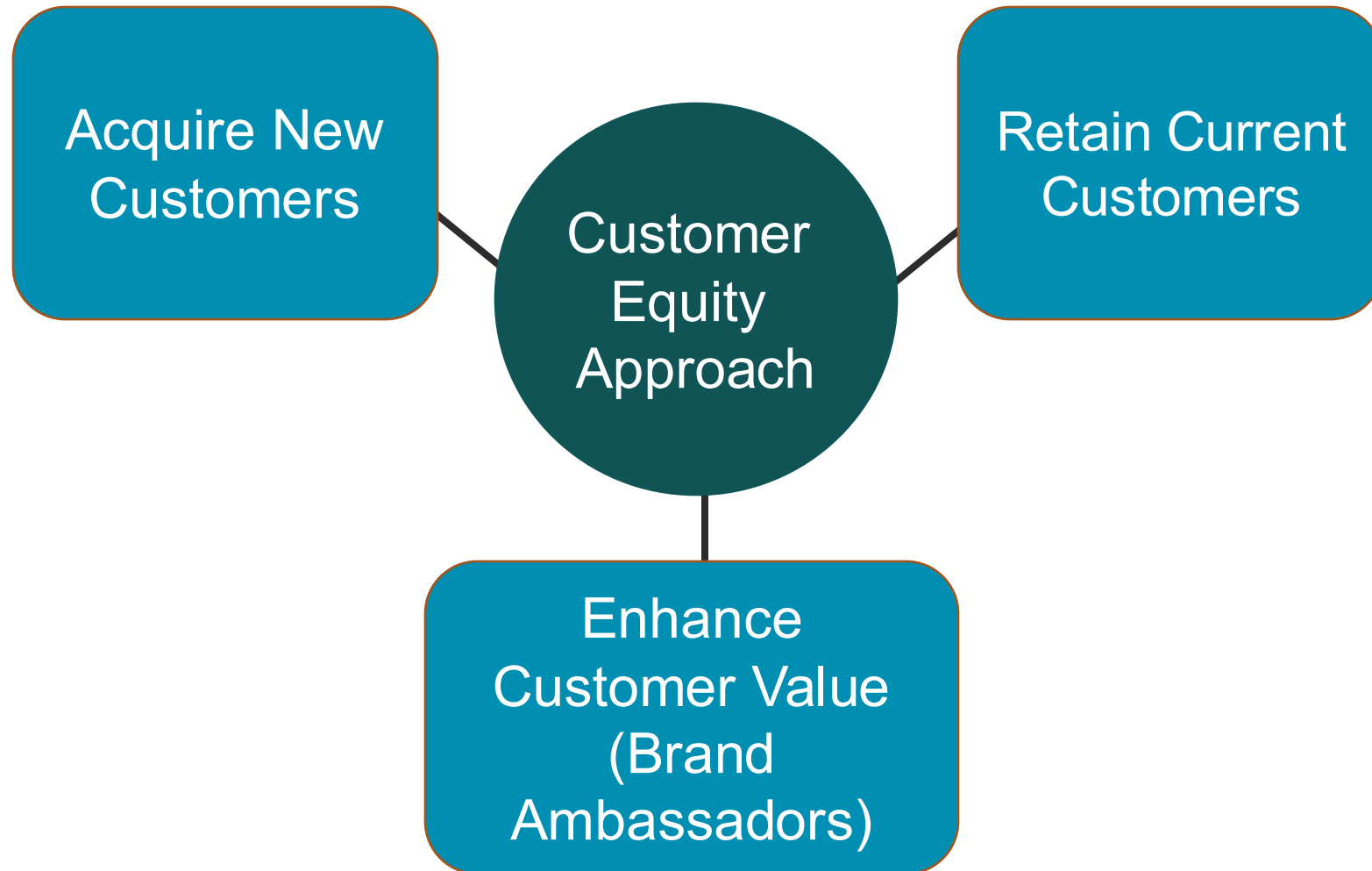
Marketing Strategy and Planning

Most companies implement more than one marketing strategy—and related marketing plan—at the same time.



Marketing's Role in the Firm

Marketing Connects to Customers



Marketing Strategy Framework

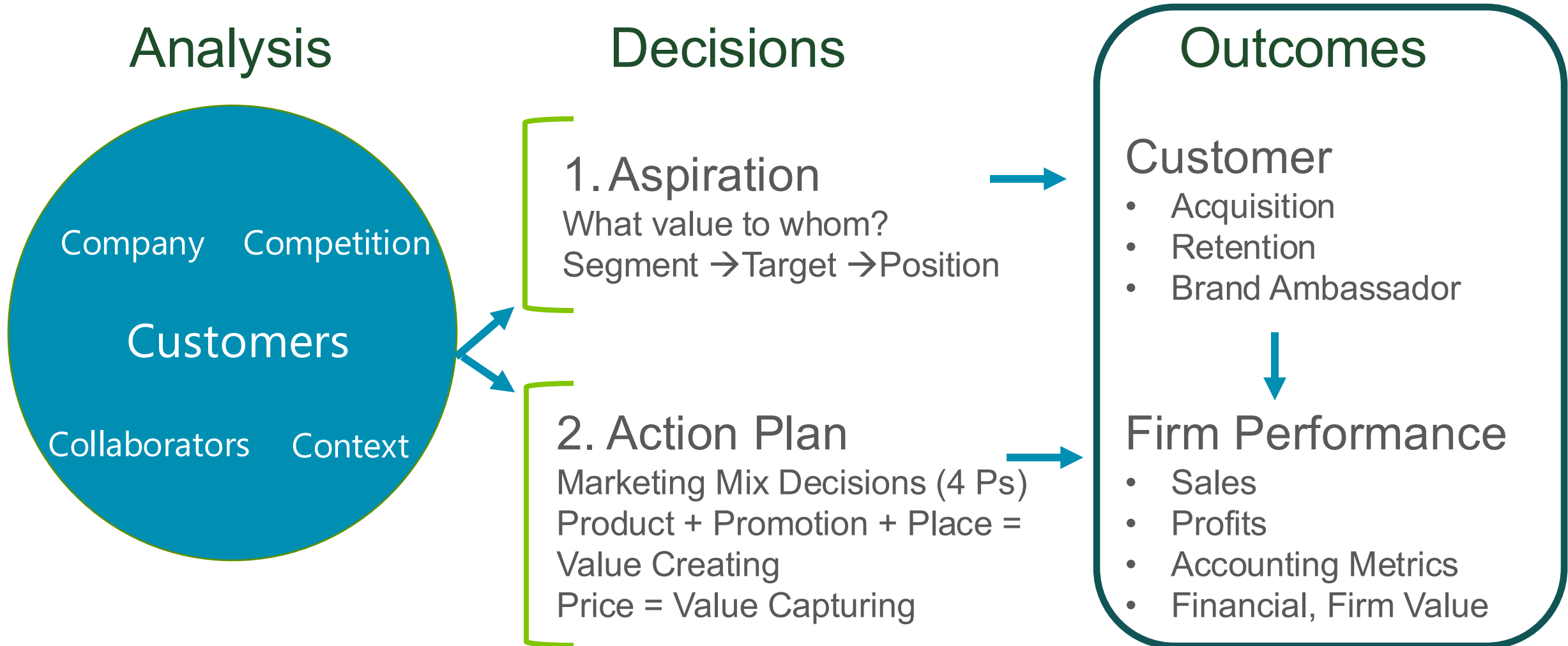
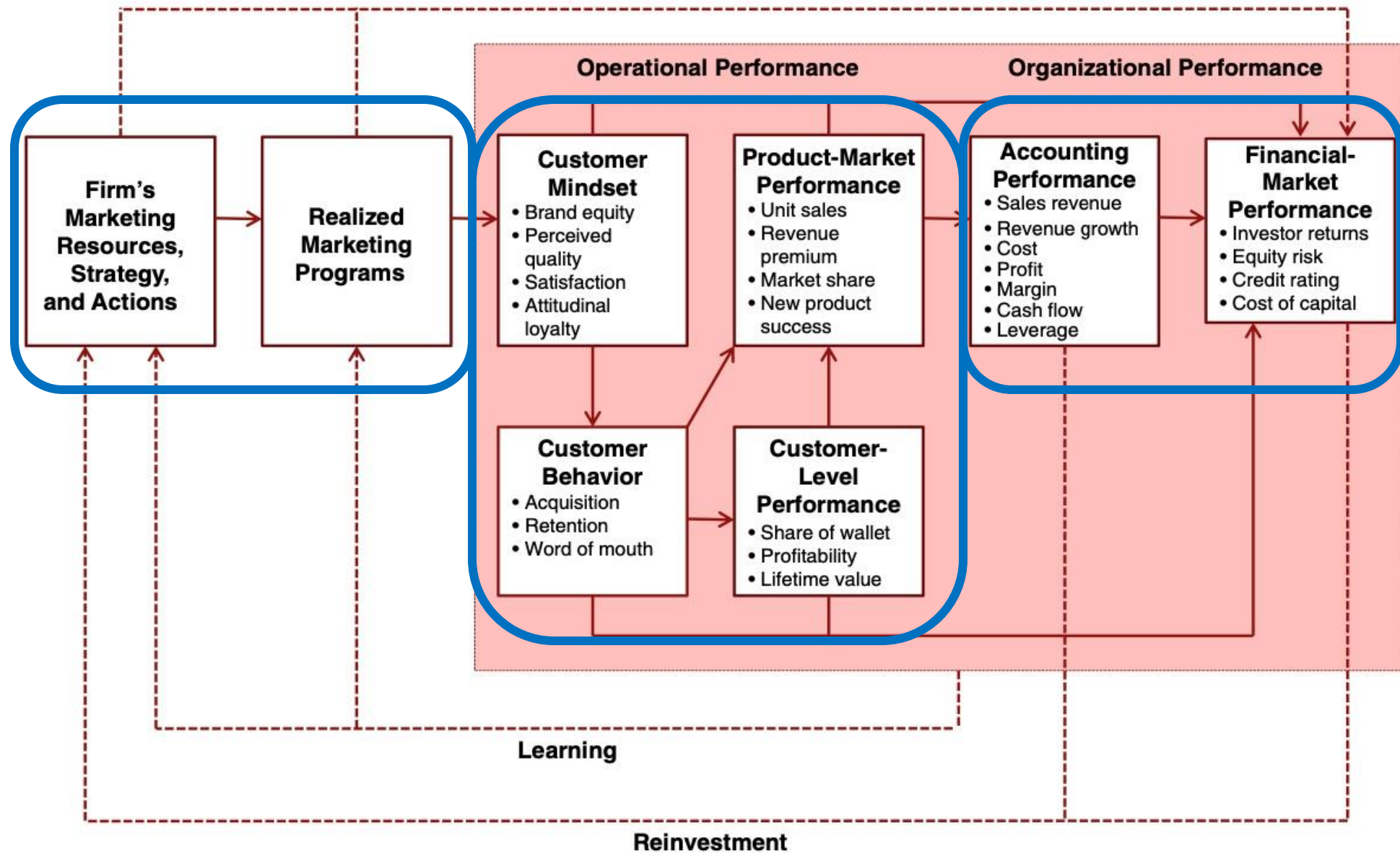
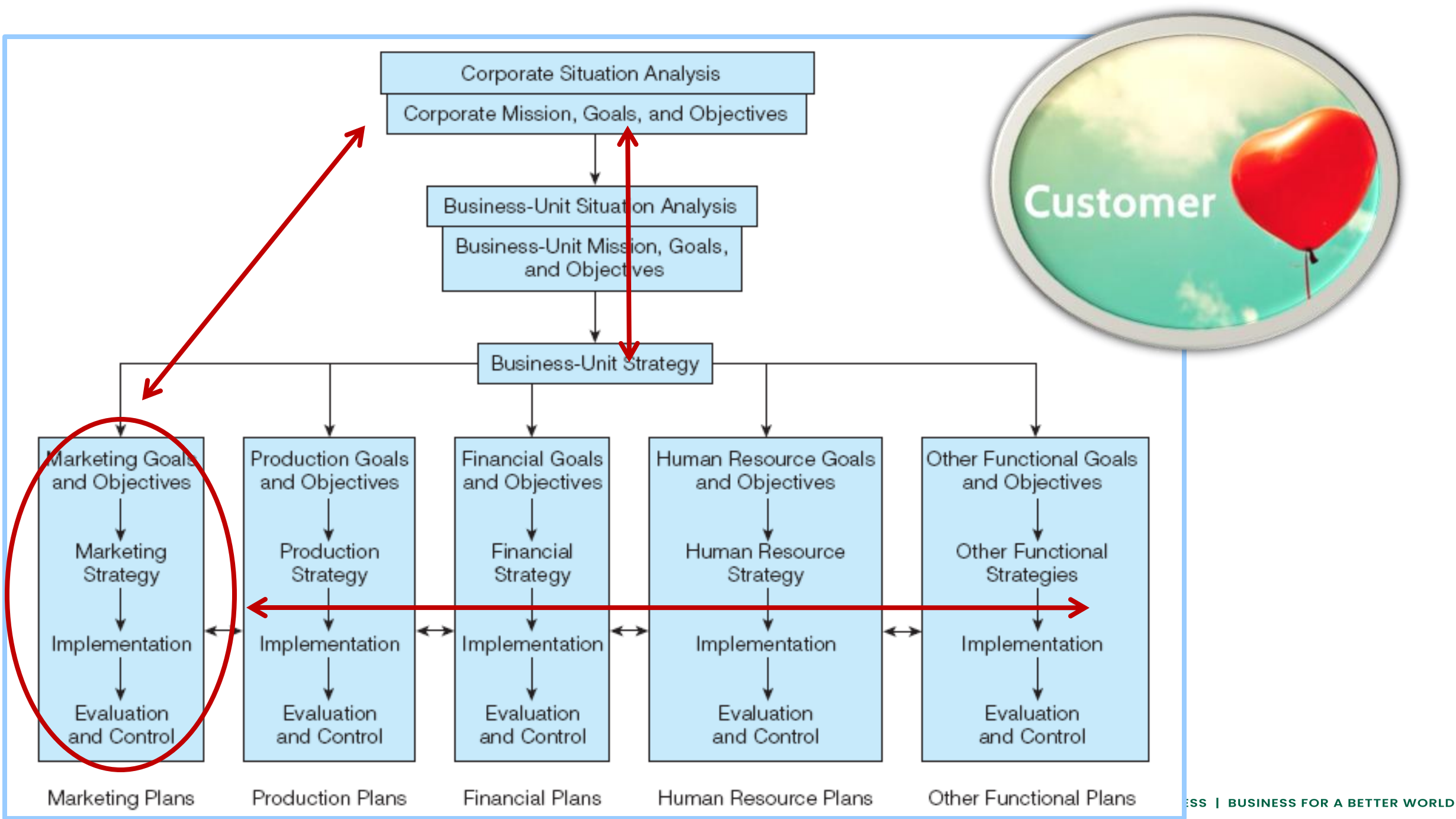


FIGURE 1
The Marketing–Performance Outcome Chain and Exemplar Measures



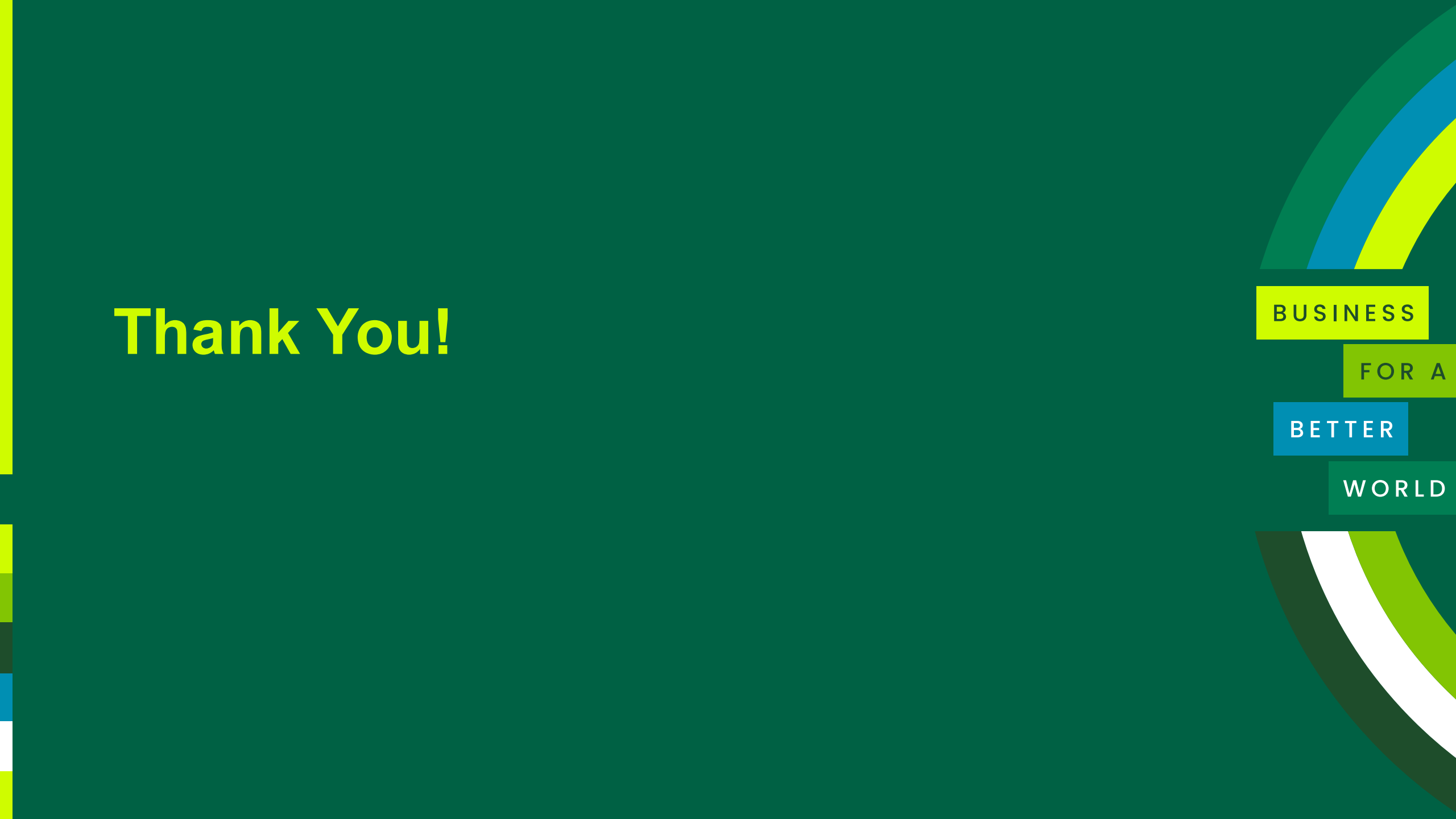


To Do Next...

1. Take the Week 1 Quiz
 - *Review any concepts you may have missed
2. Do the Week 1 Discussion Assignment
3. Prepare for Week 2
4. Have a great week!



Thank You!



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